

Orion Pharmachem Limited

CX-2026-0002 · Term Loan · Version 1 · 04 Oct 2026 · STRICTLY CONFIDENTIAL

1. Executive Summary

Approve

Orion Pharmachem Limited, operating in Pharmaceuticals & API, has applied for a Term Loan of ₹60.00 Cr. The proposal is recommended for approval. The internal score of 863 (CX1) implies a one-year probability of default of 0.05%. Principal concerns are no material risk drivers. These are partly mitigated by Debt service coverage 6.82x; Fraud risk score 0; Debt / EBITDA 0.86x. We recommend an exposure of ₹60.00 Cr priced at 9.7% p.a., with sizing bound by the requested amount.

Credit score 863 / 900	Internal grade CX1	Risk level LOW	Probability of default (1y) 0.05%
Recommended amount ₹60.00 Cr	Suggested rate 9.7% p.a.	Fraud risk score 0 / 100	Approval likelihood 100%

2. Borrower Profile

Field	Detail
Legal name	Orion Pharmachem Limited
Constitution	Public Limited (Listed)
CIN	L24230TG1998PLC029874
PAN	AABCO7712Q
GSTIN	36AABCO7712Q1ZY
Incorporated	1998
Sector	Pharmaceuticals & API
Location	Hyderabad, Telangana
Promoters / directors	Srinivas Reddy (DIN 00112233), Lakshmi Reddy (DIN 00112234)
External rating	AA-/Stable (demo agency)

3. Proposed Facility

Field	Detail
Case reference	CX-2026-0002
Facility	Term Loan
Amount requested	₹60,00,00,000
Tenure	84 months
Purpose	PLI-backed fermentation capacity for key starting materials
Security offered	First pari-passu charge on fixed assets of Bollaram unit
Security value	₹95.00 Cr

4. Financial Analysis

Metric	FY23	FY24	FY25
Revenue	₹318.00 Cr	₹361.00 Cr	₹412.00 Cr
EBITDA	₹70.00 Cr	₹82.30 Cr	₹98.90 Cr
EBITDA margin	22.0%	22.8%	24.0%
PAT	₹34.50 Cr	₹41.80 Cr	₹52.00 Cr
Revenue growth	—	13.5%	14.1%
Total debt	₹100.00 Cr	₹93.00 Cr	₹85.00 Cr
Net worth	₹303.00 Cr	₹342.00 Cr	₹390.00 Cr
Debt / EBITDA	1.43x	1.13x	0.86x

Metric	FY23	FY24	FY25
Debt / Equity	0.33x	0.27x	0.22x
DSCR	9.21x	5.45x	6.82x
Interest coverage	9.21x	11.59x	15.22x
Current ratio	1.69x	1.79x	1.86x
Receivable days	85	82	78

Figures extracted from uploaded statements; each value carries document/page provenance in CredX.

5. Banking Conduct & GST Compliance

Check	Result	Detail
GSTR-2A/2B vs GSTR-3B	PASS	3B ₹412.00 Cr vs 2A/2B ₹408.90 Cr — variance 0.8% (tolerance 5%).
GSTR-1 vs GSTR-3B	PASS	Outward supplies declared ₹411.20 Cr vs tax paid on ₹412.00 Cr (0.2%).
Bank credits vs GST turnover	PASS	Annualised bank credits ₹479.42 Cr are 99% of GST turnover incl. tax.
Book revenue vs GST turnover	PASS	Financial-statement revenue ₹412.00 Cr vs GST turnover ₹412.00 Cr (0.0%).
GSTIN validity	PASS	1 GSTIN(s) pass checksum and state-code validation.

Statement	Account	Credits	Closing bal.	Bounces	Overdrawn days
bank_statement_Oct24-Mar25.pdf	XXXX7654	₹239.71 Cr	₹31.25 Cr	0	0

6. Promoter, Litigation & Market Intelligence

3 external items were reviewed for Orion Pharmachem Limited; overall promoter/company sentiment is positive. Supportive developments: Orion Pharmachem receives USFDA EIR for Hyderabad API unit [1]; Orion Pharmachem upgraded to AA-/Stable on strong cash flows [3]. Litigation exposure is low (score 0/100 across 0 matter(s)). Sector view (Pharmaceuticals & API): outlook strong; key headwind — usfda regulatory actions (warning letters, import alerts).

Litigation risk: LOW · Promoter sentiment: POSITIVE · Sector outlook: STRONG · Overall external risk: LOW

- [LOW] Orion Pharmachem receives USFDA EIR for Hyderabad API unit — Pharma Pulse (demo) (demo data)
- [LOW] Orion Pharmachem to invest ₹180 crore in PLI-backed fermentation capacity — Pharma Pulse (demo) (demo data)
- [LOW] Orion Pharmachem upgraded to AA-/Stable on strong cash flows — Rating Desk India (demo) (demo data)

7. Sector & Regulatory Conditions

Pharmaceuticals & API — outlook STRONG, sector risk band 2/5 (knowledge base 2026.10).

Headwinds

- USFDA regulatory actions (warning letters, import alerts)
- US generic price erosion
- Dependence on Chinese KSMs

Tailwinds

- PLI for bulk drugs/KSMs
- Strong domestic formulation demand
- CDMO outsourcing opportunity

RBI / regulatory context

- Generally standard-asset quality; regulatory events are the main idiosyncratic risk
- Track USFDA inspection outcomes (EIR vs Form 483 vs OAI)

8. Fraud & Forensic Observations

Fraud risk score 0/100 (LOW). Graph of 6 companies and 7 relationships analysed. No circular trading loops found. GST reconciliation within tolerance.

- No graph or GST forensic alerts.

9. Five Cs of Credit

C	Score	Assessment	Key evidence
Character	100	Strong	Fraud risk score: 0 (+29 pts); Promoter sentiment: +0.68 (+15 pts); Cheque/ECS bounces: 0 (+9 pts)
Capacity	100	Strong	Debt service coverage: 6.82x (+42 pts); Current ratio: 1.86x (+15 pts); Interest coverage: 15.22x (+11 pts)
Capital	85	Strong	Debt / EBITDA: 0.86x (+22 pts); Debt / equity: 0.22x (+4 pts); Promoter pledge: 0.0% (+2 pts)
Collateral	54	Weak	Offered security: First pari-passu charge on fixed assets of Bollaram unit; Collateral coverage: 1.58x (+3 pts)
Conditions	65	Adequate	Revenue growth: 14.1% (+7 pts); Sector risk: 2 (+5 pts); Sector: Pharmaceuticals & API — outlook STRONG

10. Risk Rating & Explainability

Driver	Value	Score impact	Five C
Debt service coverage	6.82x	+42	Capacity
Fraud risk score	0	+29	Character
Debt / EBITDA	0.86x	+22	Capital
Current ratio	1.86x	+15	Capacity
Promoter sentiment	+0.68	+15	Character
Interest coverage	15.22x	+11	Capacity
EBITDA margin	24.0%	+11	Capacity
Cheque/ECS bounces	0	+9	Character
Cash-flow volatility	0.08	+8	Capacity
Revenue growth	14.1%	+7	Conditions
Litigation intensity	0	+7	Character
GST mismatch	0.8%	+5	Character
Overlay: Experienced promoter with three decades in API manufacturing	analyst note	+6	Character

Policy rule	Threshold	Actual	Status
KO-01 Wilful defaulter / RBI defaulter list	Not on list	none	PASS
KO-02 Existing NPA / SMA-2 classification	Standard asset	none	PASS
KO-03 Admitted insolvency proceedings	No CIRP admitted	none admitted	PASS
KO-04 Fraud risk score	< 75	0.0	PASS
KO-05 Debt service coverage	>= 0.90x	6.82	PASS
DV-01 Minimum DSCR	>= 1.25x	6.82	PASS
DV-02 Maximum Debt / EBITDA	<= 4.0x	0.86	PASS
DV-03 Maximum Debt / Equity	<= 3.0x	0.22	PASS
DV-04 Minimum current ratio	>= 1.10x	1.86	PASS
DV-05 GST turnover reconciliation	<= 10% variance	0.75	PASS
DV-06 Promoter pledge	<= 50%	0.0	PASS
DV-07 Collateral coverage	>= 1.0x	1.58	PASS
DV-08 Litigation intensity	<= 60	0.0	PASS
DV-09 Cheque/ECS bounces (6m)	<= 2	0.0	PASS

Policy rule	Threshold	Actual	Status
DV-10 Going-concern / audit qualification	Clean opinion	none	PASS

Model score 857 = base 657 pts + feature points (exact TreeSHAP attribution, PDO-scaled); overlays +6 pts give final score 863. Model xgb-20261004-131921 (AUC 0.8764).

11. Analyst Observations

1 qualitative observation(s) recorded by the underwriting team.

- Management: Experienced promoter with three decades in API manufacturing; second-generation CFO with strong controls. (score impact +6 pts)

12. Loan Sizing & Risk-Based Pricing

Method	Eligible amount	Basis
Requested amount ☐	₹60.00 Cr	Applicant request
DSCR capacity	₹288.91 Cr	EBITDA / 1.35x target DSCR less existing debt service, 7-yr annuity @ 9.70%
Leverage ceiling	₹409.50 Cr	5.00x Debt/EBITDA for grade less existing debt
Security cover	₹76.00 Cr	Collateral value / 1.25x minimum security cover

Pricing component	bps	Rationale
Benchmark (EBLR/MCLR)	+925	Bank's external benchmark lending rate (RBI repo 5.50%)
Credit risk premium (CX1)	+50	Grade-linked spread
Tenor premium	+20	Tenor beyond 5 years
Collateral discount	-25	Security cover 1.58x
All-in rate	9.7%	Spread 0.45% over benchmark

Recommended ₹60.00 Cr; binding constraint: Requested amount.

13. Recommendation & Conditions

Recommendation: Approve — ₹60.00 Cr at 9.7% p.a. for 84 months.

Basis of recommendation

- Score 863 with all evaluable policy rules passed

Terms & conditions

- Standard: CERSAI registration of security, insurance with bank clause, annual review

Mitigants / strengths

- Debt service coverage 6.82x (+42 pts)
- Fraud risk score 0 (+29 pts)
- Debt / EBITDA 0.86x (+22 pts)
- Current ratio 1.86x (+15 pts)
- Promoter sentiment +0.68 (+15 pts)

Annexure — Documents Reviewed

Document	Type	Extraction confidence
annual_report_FY25.pdf	Financial Statement	91%
gst_returns_FY25.pdf	Gst Return	98%
bank_statement_Oct24-Mar25.pdf	Bank Statement	98%
mca_mgt7_extract.pdf	Mca Filing	98%
shareholding_pattern.pdf	Shareholding Pattern	98%
existing_sanction_letter.pdf	Sanction Letter	98%

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Prepared by (Credit Analyst)	Reviewed by (Credit Manager)	Sanctioning Authority
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